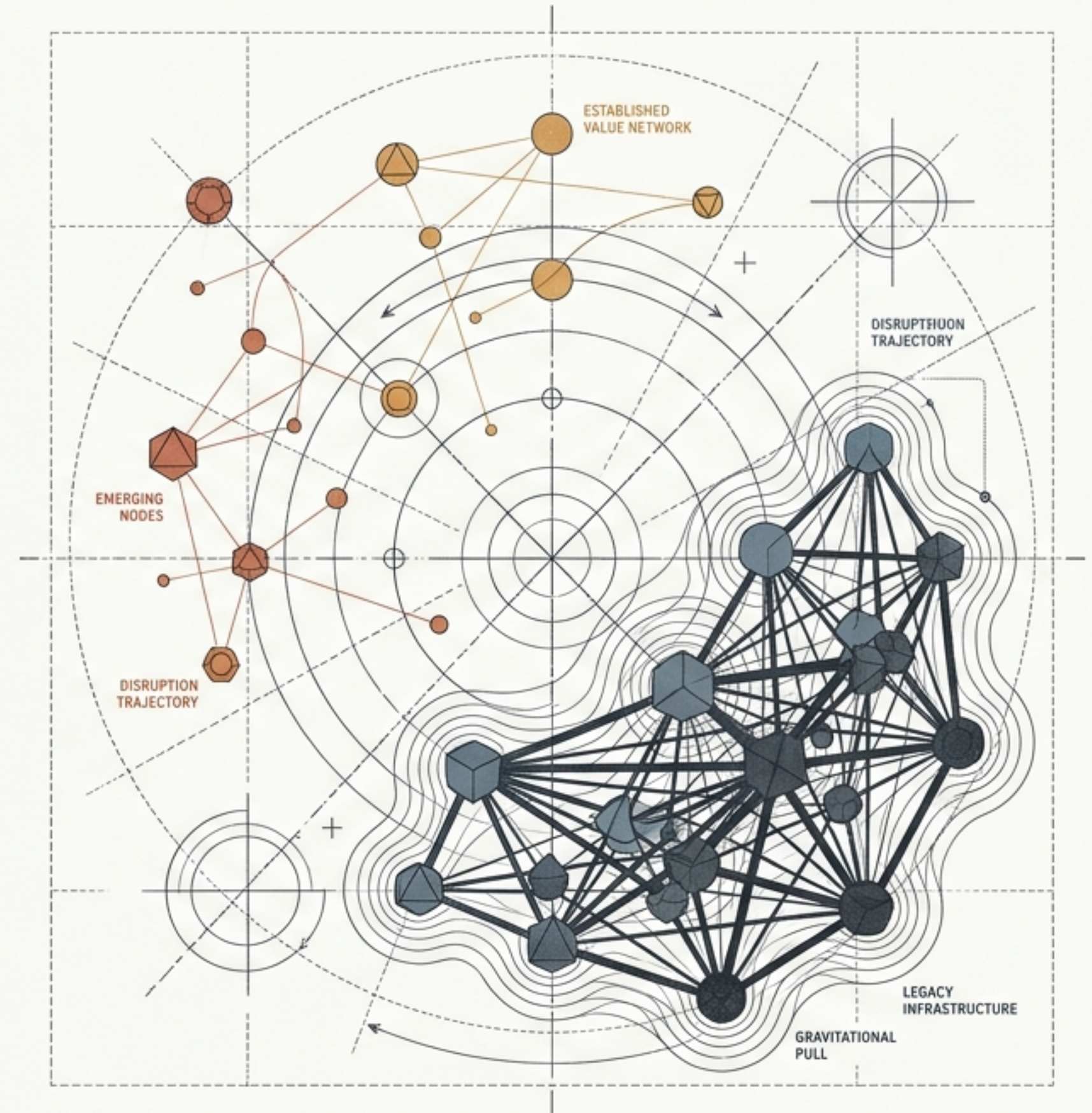


# The Architecture of Disruption

Navigating the innovator's dilemma through the gravity of value networks.





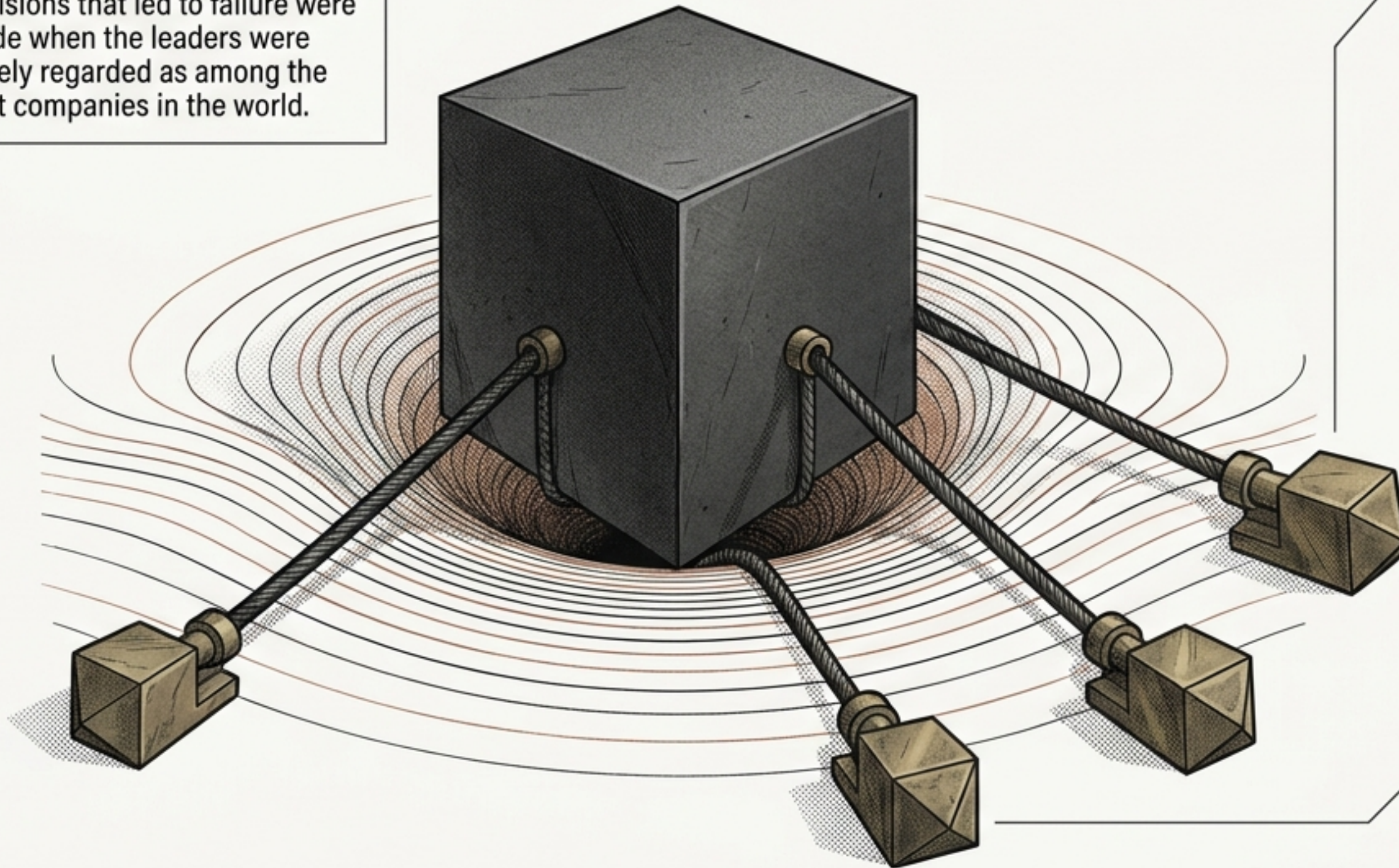
# Good management is precisely what causes great firms to fail.

**The Paradox of Success:** The decisions that led to failure were made when the leaders were widely regarded as among the best companies in the world.

1. Listening perfectly to top customers.

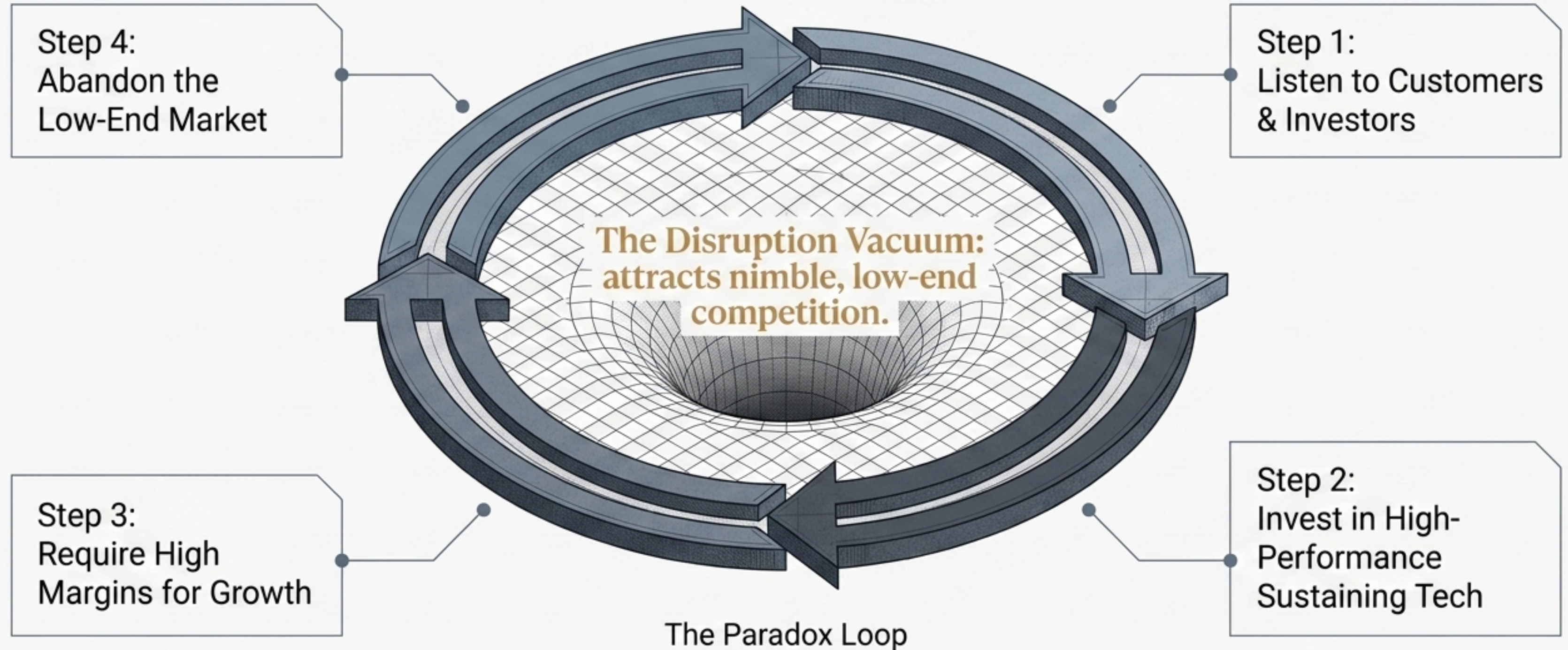
2. Systematically allocating capital to high-return innovations.

3. Aggressively pursuing substantial markets over small ones.





# The vicious cycle of incumbent vulnerability creates a vacuum at the bottom.



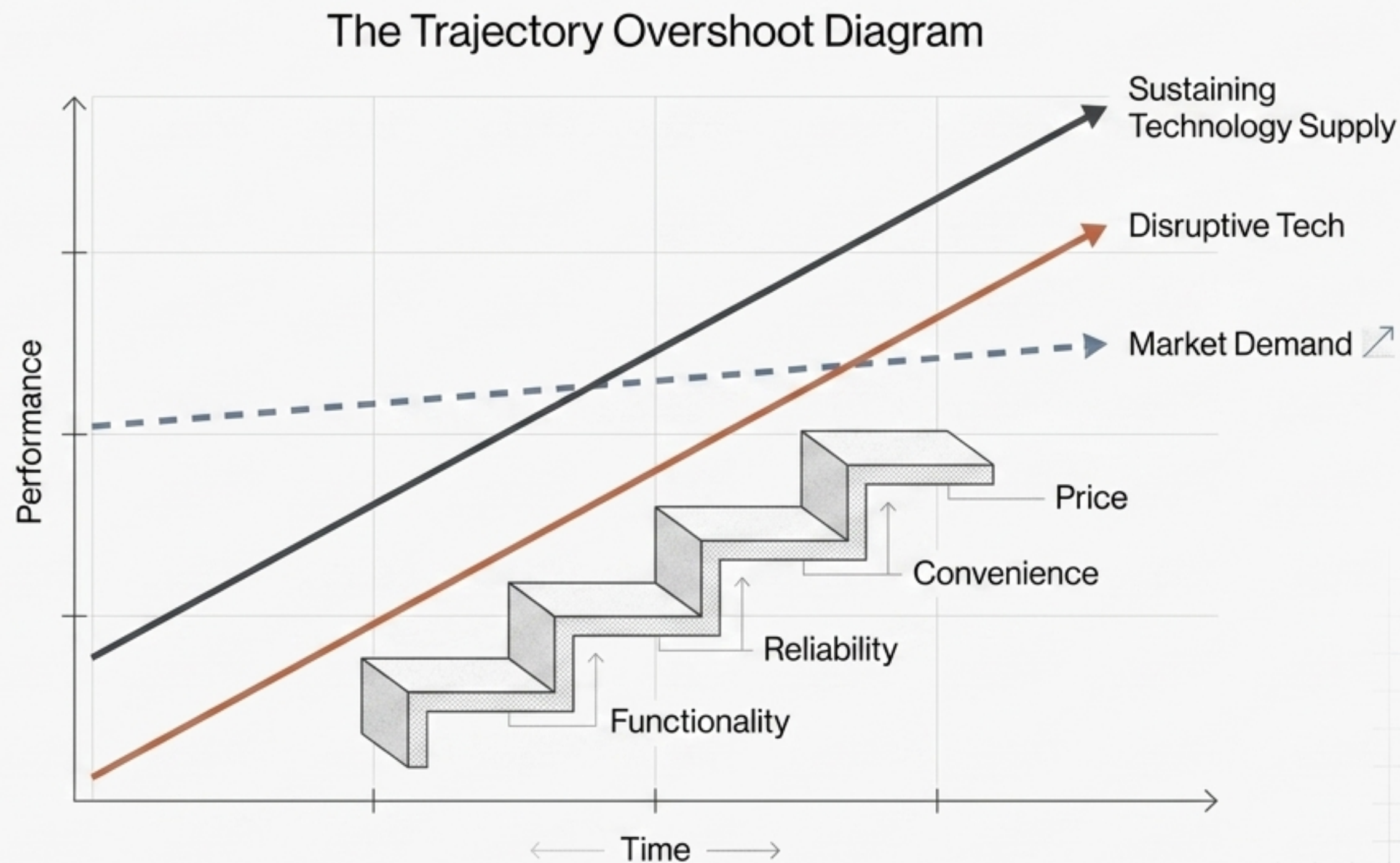


# Distinguishing sustaining progress from disruptive threats

|                   | Sustaining Technologies                     | Disruptive Threats                           |
|-------------------|---------------------------------------------|----------------------------------------------|
| Pace vs. Need     | Overshoots what the market actually needs.  | Starts as “good enough” for neglected users. |
| Margin Profile    | Promises upmarket, high margins.            | Lower performance initially, lower margins.  |
| Market Size       | Substantial, quantifiable existing markets. | Small, currently unanalyzable markets.       |
| Primary Advantage | Deeply favors established incumbents.       | Massive first-mover advantage for entrants.  |



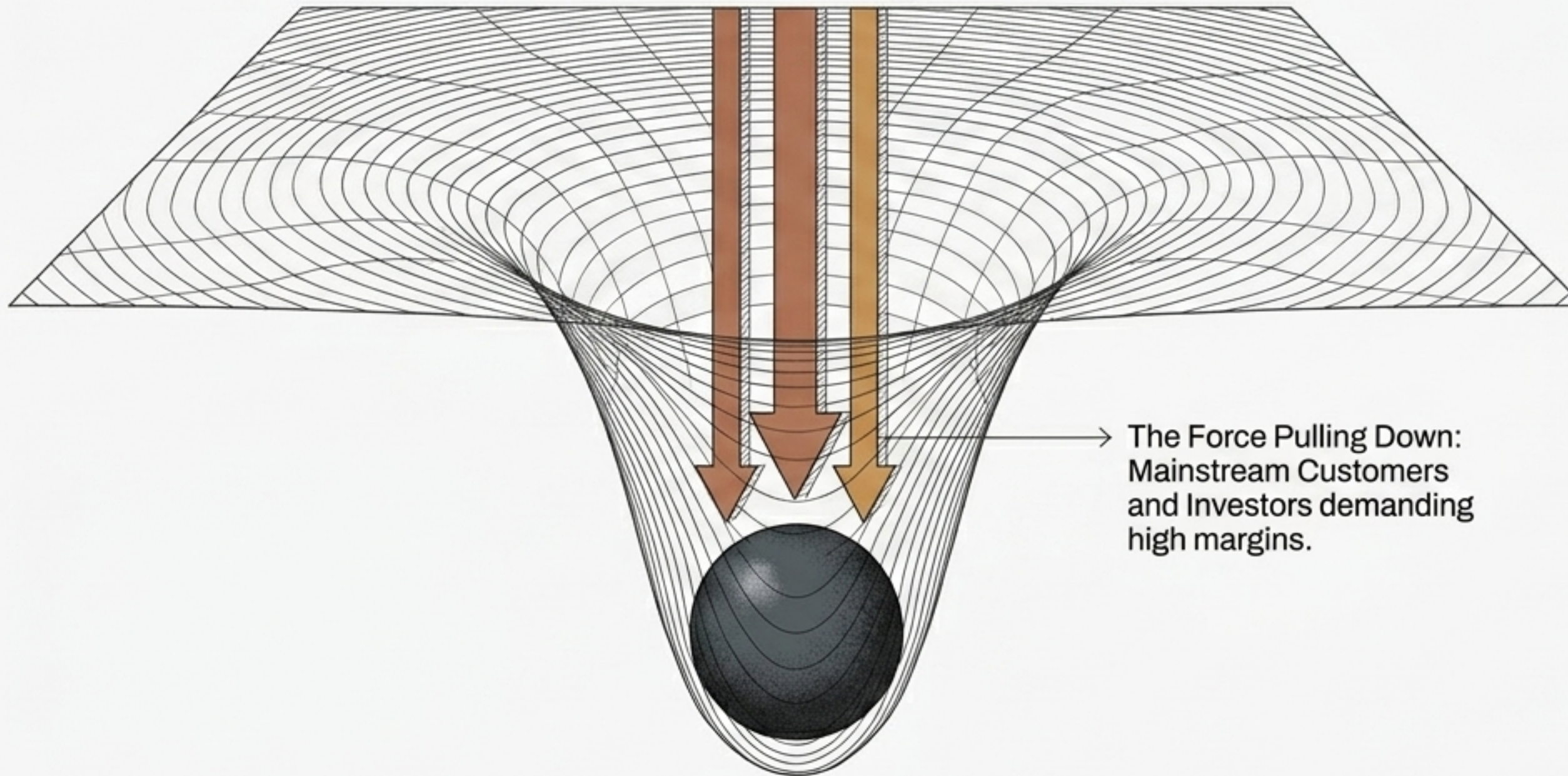
# Technological supply inevitably outstrips market demand.





# The Value Network is the trap.

Gravity Well



→ The Force Pulling Down:  
Mainstream Customers  
and Investors demanding  
high margins.

## Synthesis

Disruption is not a failure of technology; it is a structural inability to escape one's own ecosystem.

An established firm cannot pursue disruptive technology because its existing Value Network fundamentally forbids downward mobility.



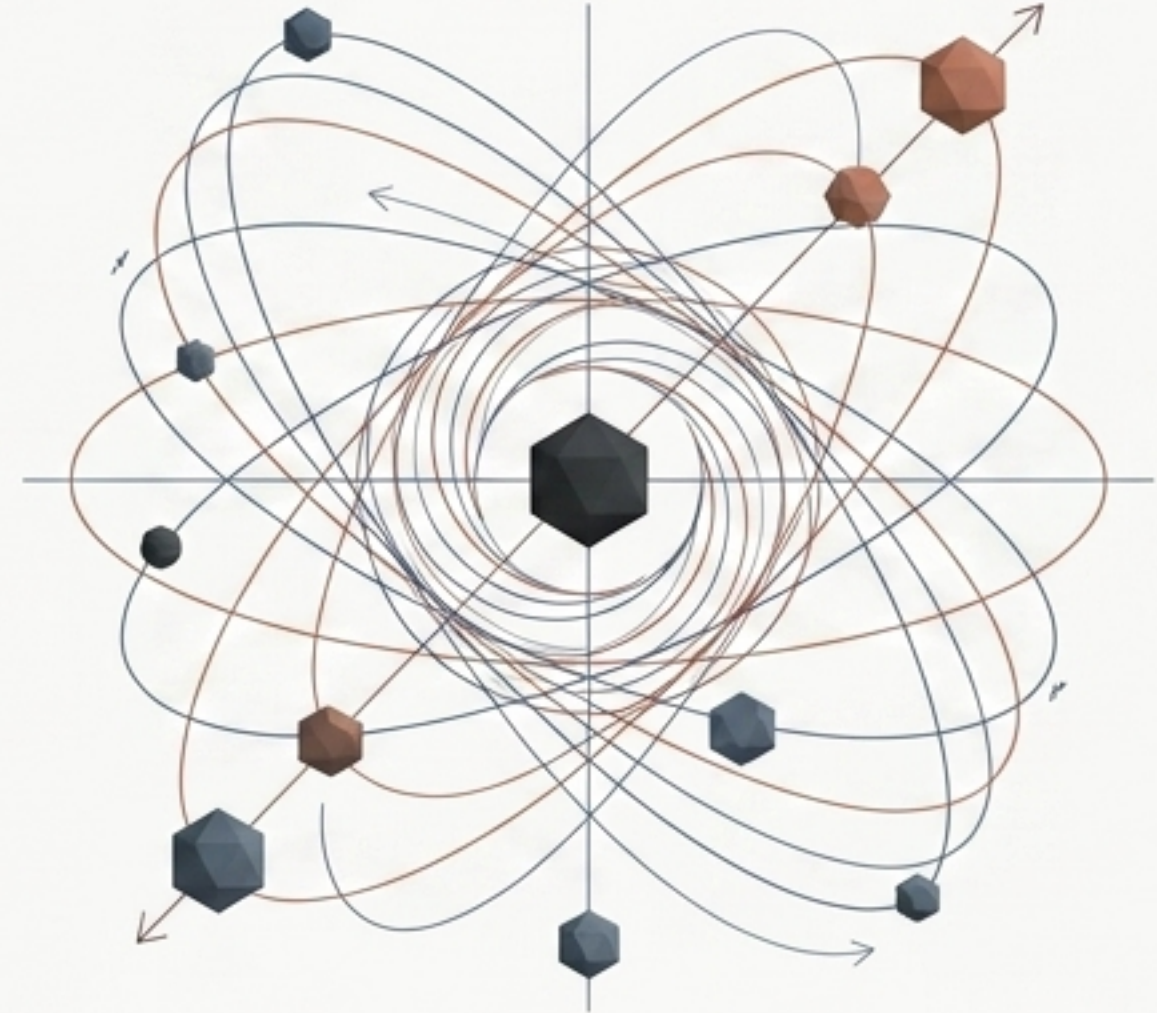
# Strategy is no longer a linear chain; it is an orbital constellation.

## The Traditional Value Chain



Fixed sequence, isolated production steps,  
company as a standalone machine

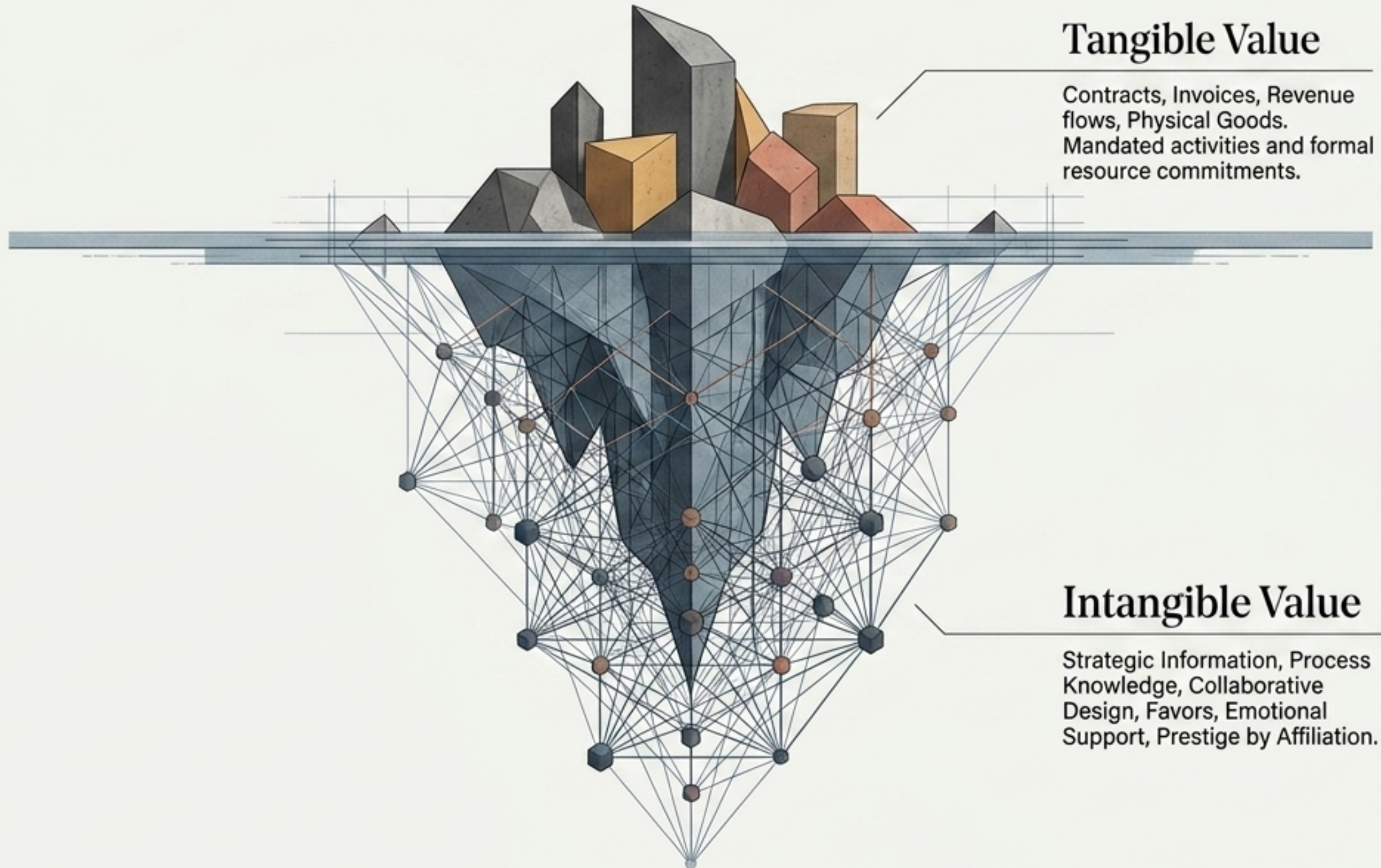
## The Value Network



A web of roles linked by interactions where economic entities  
engage in mutual exchange to achieve economic or social good.



# The dual nature of network exchange runs deeper than revenue.



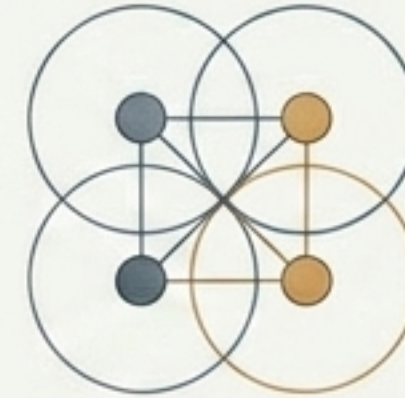


# Four distinct lenses for analyzing network dynamics.



## Christensen (The Lock-in)

Focuses on upstream suppliers and downstream channels. Entrants fail when they adapt to the incumbent's network and become co-opted.



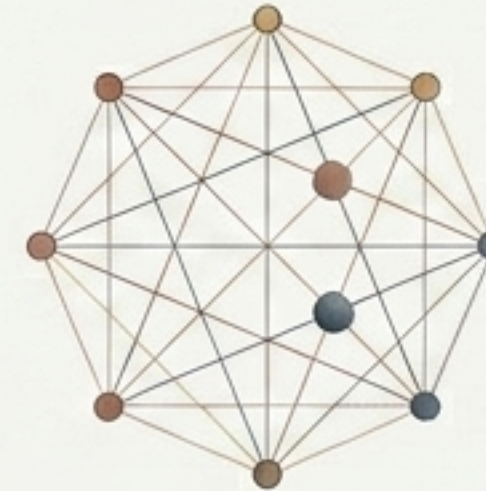
## Fjeldstad & Stabell (Customer Interaction)

Value is generated between interacting customers. The firm provides the service and contracts that enable access.



## Normann & Ramirez (Social Innovation)

All stakeholders co-produce value. Strategy is systematic social innovation, not fixed activities.

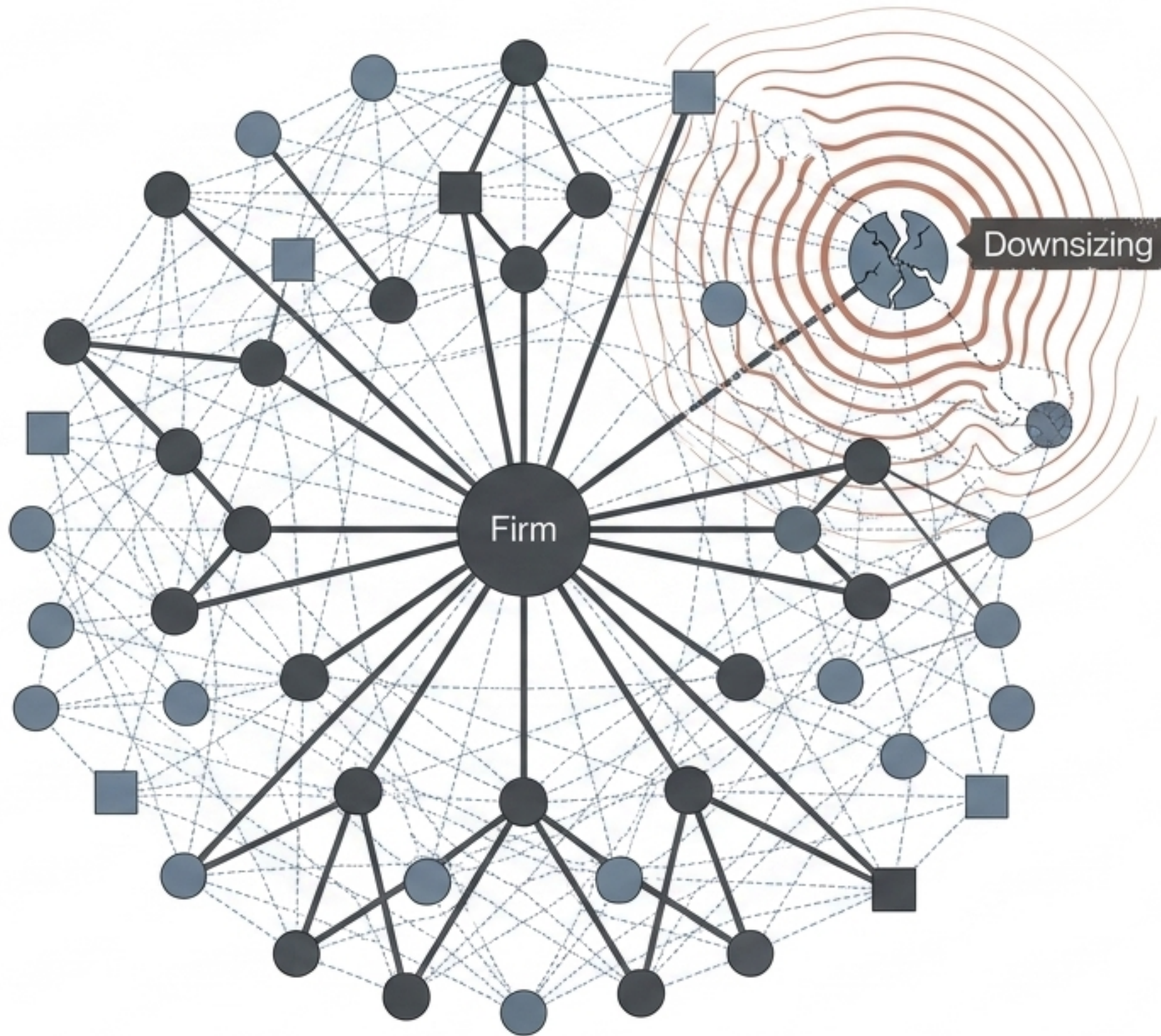


## Verna Allee (Complex Exchange)

Whole systems mapping of tangible deliverables and hidden intangible knowledge exchanges to predict workflow risk.



# Mapping the invisible topology of an enterprise system



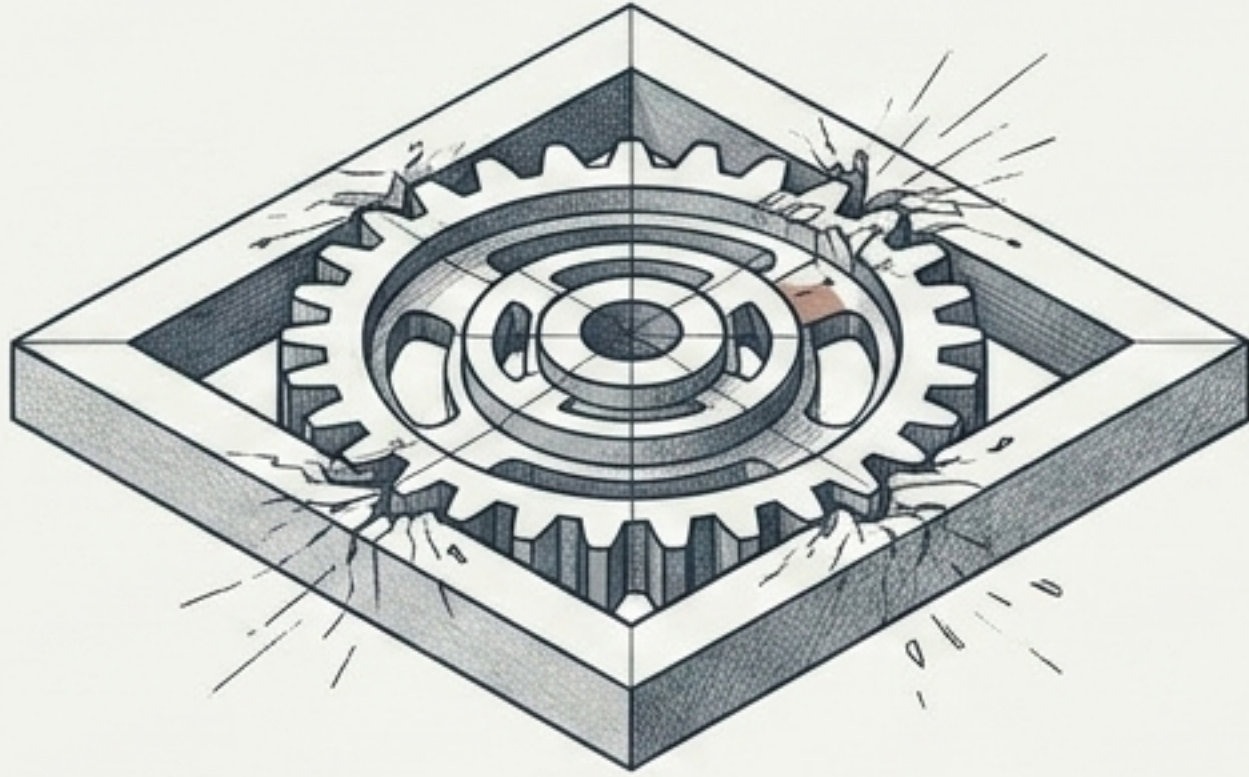
- Solid Lines:  
Explicit tangible  
transactions  
(money, goods)
- - - Dashed Lines:  
Intangible  
fast-moving  
exchanges of technical  
know-how and  
collaborative policy

## The Non-Linear Shockwave

Severing an intangible relationship destroys knowledge value long before financial metrics register the loss, rippling through the dashed network unpredictably.



# Disruption is a marketing challenge, not a technological one.



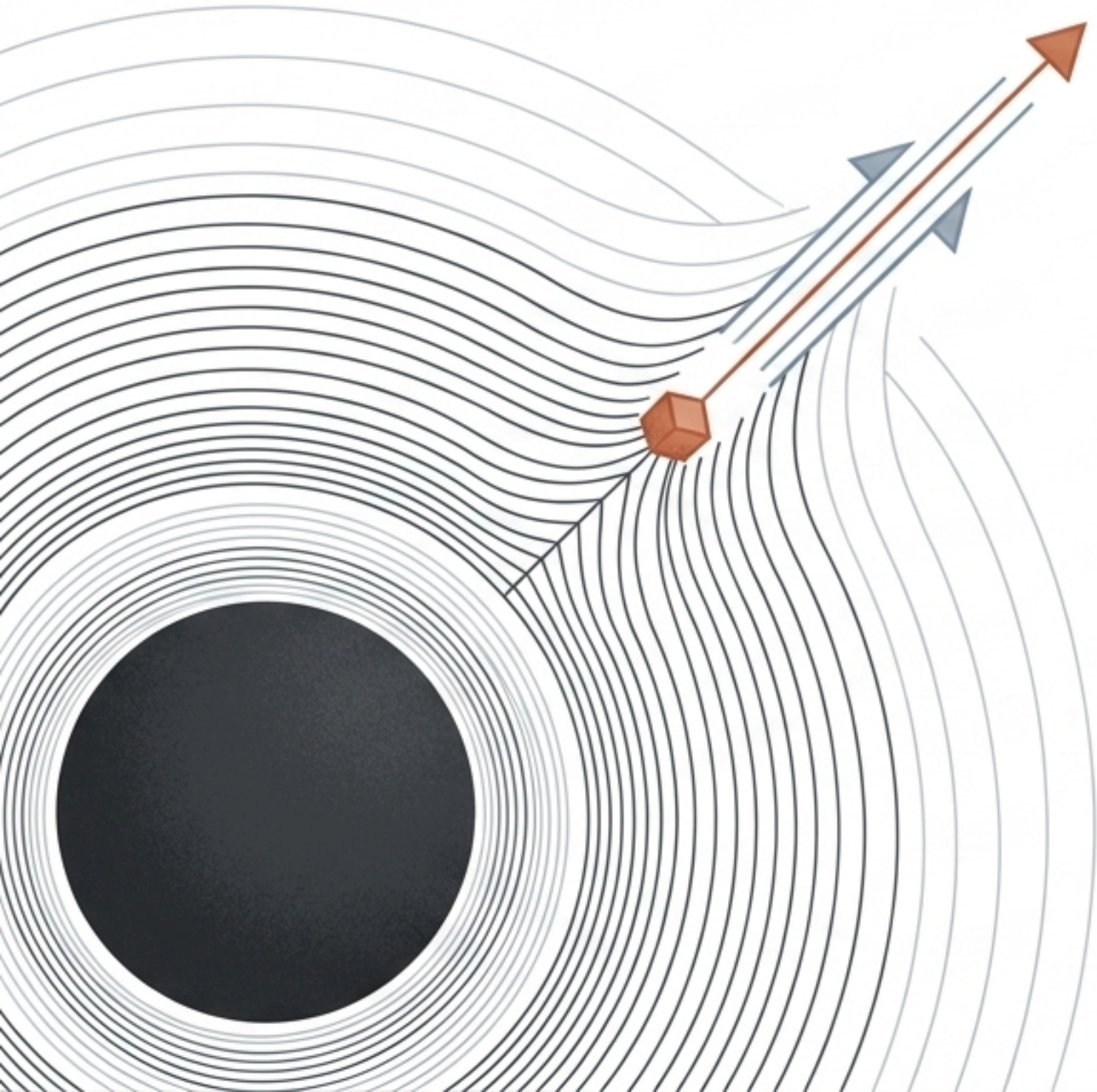
Trying to improve the disruptive technology enough to suit known, mainstream markets.



Building or finding a totally new market where product competition occurs along dimensions that favor the disruptive attributes.



# Escaping the gravity well requires organizational independence.



## 1. Sever the Resource Dependency

Create entirely independent organizations tailored specifically to compete in low-end, low-margin markets.

## 2. Scale to the Opportunity

Small markets don't solve the growth needs of large companies. Create small organizations that get excited about small wins.

## 3. Embrace the Unanalyzable

Markets that do not exist yet cannot be quantified. Abandon the paralysis of traditional ROI analysis when facing disruptive tech.

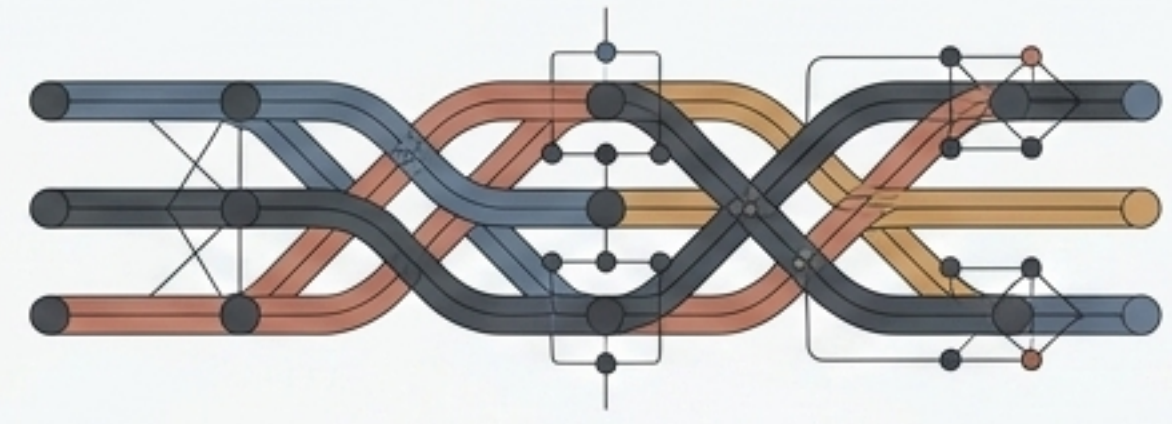


# Deploying network analysis across complex organizational challenges



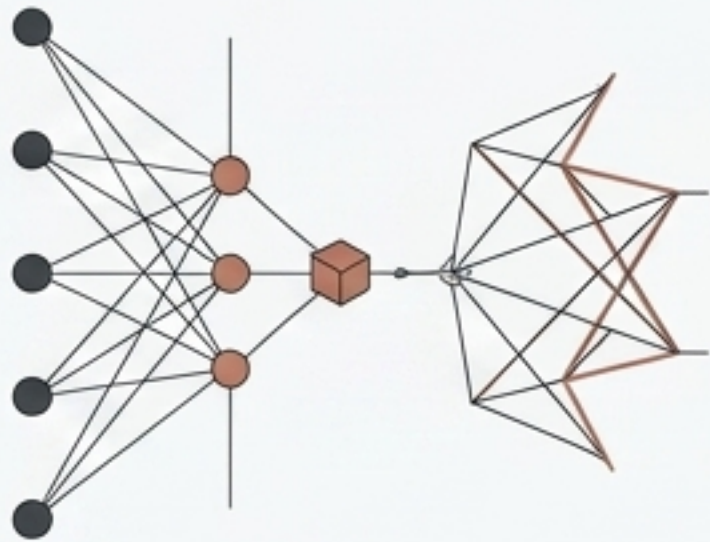
## Business Web Development

Deploying resources and driving market innovation through the vitality of broader business ecosystems.



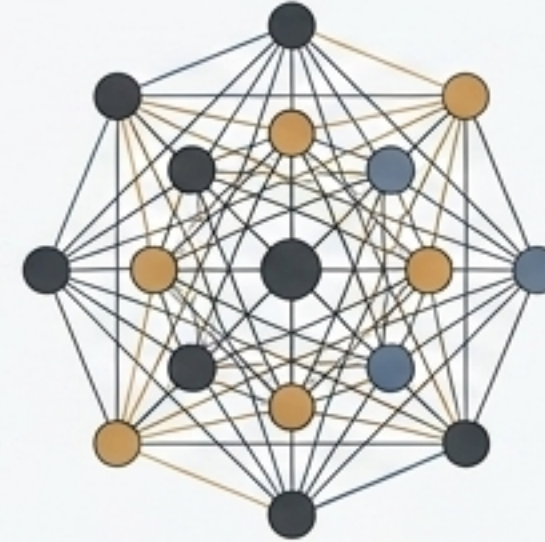
## Fast-Track Process Redesign

Mapping multiple, concurrent, interdependent processes that are too complex for traditional linear process mapping.



## Reconfiguring the Organization

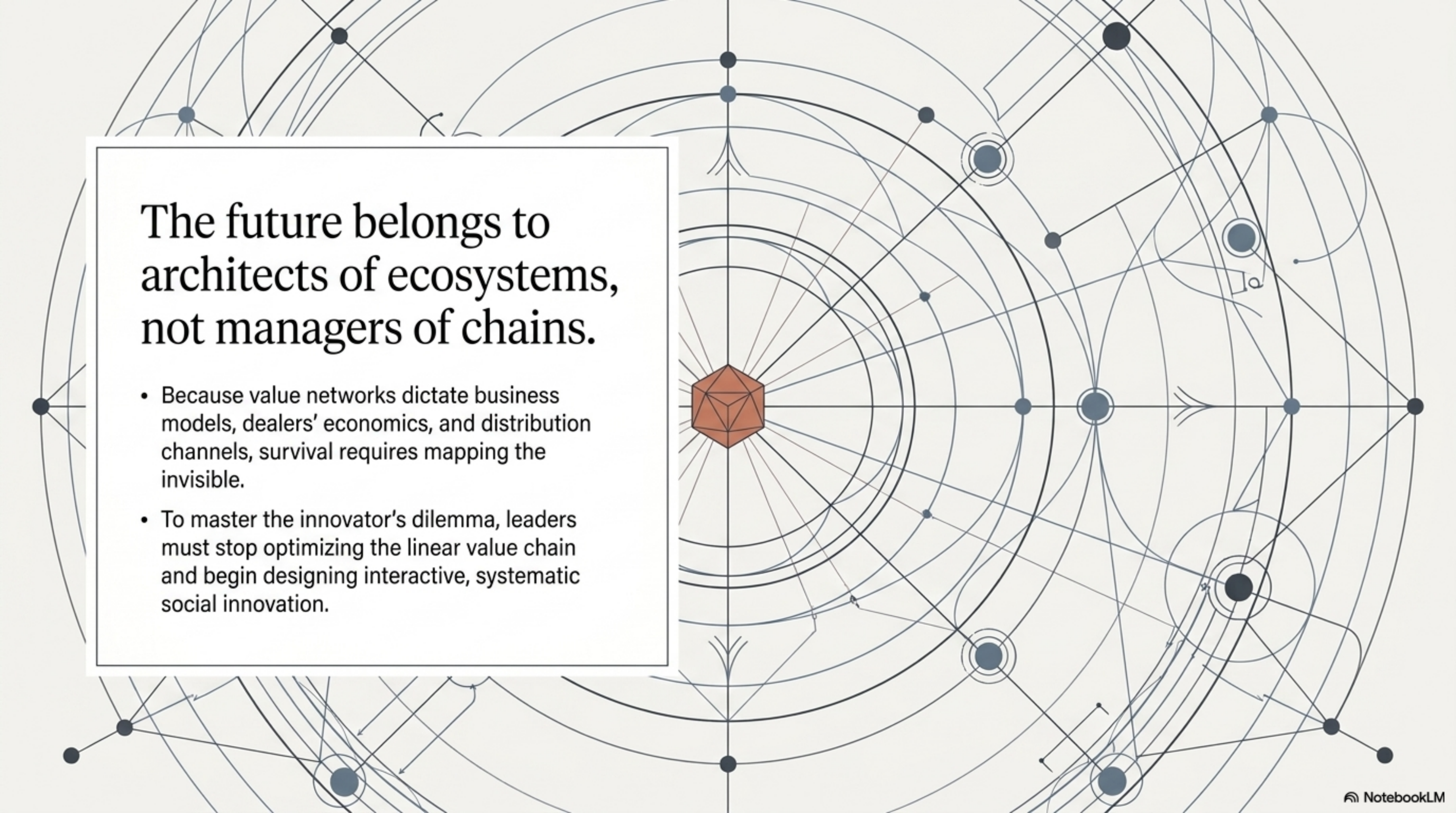
Tracing how M&A, expansion, or downsizing structurally alters intangible value interactions.



## Communities of Practice

Helping internal knowledge networks negotiate for resources by revealing their hidden intangible value generation.





# The future belongs to architects of ecosystems, not managers of chains.

- Because value networks dictate business models, dealers' economics, and distribution channels, survival requires mapping the invisible.
- To master the innovator's dilemma, leaders must stop optimizing the linear value chain and begin designing interactive, systematic social innovation.